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HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 98

AN ACT TO AMEND TITLE 4 AND TITLE 16 OF THE DELAWARE CODE RELATING TO ALCOHOL AND MARIJUANA.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE (Three-fifths of all members elected to each house thereof concurring therein):

1 Section 1. Amend § 101, Title 4 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows and by redesignating accordingly:

3 § 101. Definitions.

4 As used in this title, in addition to their usual meaning:

5 (24) “Import” means the transporting or ordering or arranging for the transportation or shipment of alcoholic
6 liquor or infused beverages into the State whether by a resident of the State or otherwise.

7 (25) “Importer” or “wholesaler” or “distributor” means the person transporting or ordering, authorizing or
8 arranging the transportation or shipment of alcoholic liquors or infused beverages into this State, whether the person is
9 a resident or citizen of this State or not, said person being permitted to sell said alcoholic liquors or infused beverages
10 only to those persons licensed to resell alcoholic ~~liquors;~~ liquors or infused beverages; provided, however, that nothing
11 contained in this definition shall be construed as prohibiting an importer from selling such alcoholic liquors or infused
12 beverages to either an active owner of that business for that person’s use and not for resale or to a full-time, bona fide
13 employee of that business for that person’s use and not for resale; and provided further, that nothing contained in this
14 definition shall be construed as prohibiting an importer from selling beer in “half-barrel” or “quarter-barrel” containers
15 to the holders of a personal license. The Commissioner may enact such rules regulating the sale of alcoholic liquor
16 liquors or infused beverages to active owners and employees of licensed importers as it deems necessary.

17 (26) “Infused beverage” means as defined in § 1302 of this title.

18 ~~(27)-(28)~~ “Manufacture” means distill, rectify, ferment, brew, make, mix, concoct or process any substance or
19 substances capable of producing a beverage containing more than 1/2 of 1% of alcohol by volume and includes
20 blending, bottling or other preparation for ~~sale.~~ sale, or any substance or substances capable of producing an infused
21 beverage as defined under § 1302 of this title.

(28)-(29) "Manufacturer" means any person engaged in the manufacture of any alcoholic liquor or infused beverage and among others includes a distiller, a rectifier, a wine maker, a brewer, and includes a bottler or one who prepares alcoholic liquor or infused beverages for sale. No person licensed under this title may manufacture, whether or not the manufacturing occurs in this state, any infused beverage that is intended to be sold or offered for sale in this state unless such person holds an infused beverage endorsement under § 1335E of this title.

(37) "Package store" or "store" means a store that sells alcoholic liquors for off-premises consumption that is not a grocery store, convenience store, drug store, hotel, restaurant, club, delicatessen, tobacco retailer, or cigar store. A package store licensed under this title may also sell infused beverages for off-premises consumption.

(41) (43) "Retailer" means the person permitted to sell alcoholic liquors or infused beverages in a store in the State, not for consumption on the premises.

(48) "Supplier" means an out-of-state manufacturer or an in-state or out-of-state alcoholic beverage importer or broker that acts as an agent on behalf of a manufacturer and sells alcoholic beverages to importers of this State.

Section 2. Amend § 403, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 403. Duties and powers of the Division.

The Division shall:

(1) Investigate, prevent and arrest for violations of this title, make seizure of alcoholic liquor, ~~liquor and infused beverages~~ manufactured, sold, kept or transported in contravention thereof, and confiscate such alcoholic liquor and infused beverages whenever required by any provision of this title.

(2) Arrange for the proper sampling, testing and analyzing of alcoholic liquor and infused beverages offered for sale in this State upon receipt of a complaint regarding health by entering into an agreement with the Director of ~~Forensic Science Laboratories~~ Public Health Laboratory of the Department of Health and Social Services to test alcoholic liquor product and infused beverage product when requested by the Division. This subsection does not apply to home breweries.

(4) Investigate, prevent, and arrest for violations of this title; seize infused beverages and marijuana, including marijuana products and accessories that are manufactured, sold, kept, or transported in contravention thereof; and confiscate such infused beverages and marijuana, including marijuana products and accessories, whenever required by any provision of this title.

Section 3. Amend § 501, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 501. Supplier and representative licenses; delivery and storage at in-state warehouse.

(d) Persons licensed by the Commissioner as suppliers and persons who manufacture infused beverages pursuant to this section shall be authorized only to sell, ship or deliver alcoholic liquors to licensed Delaware importers or manufacturers, and persons with an infused beverage endorsement under § 1335E of this title to sell, ship, and deliver infused beverages may also be authorized to sell, ship, or deliver infused beverages only to licensed Delaware importers. ~~persons~~ Persons licensed by the Commissioner as sales representatives pursuant to this section shall be authorized only to solicit orders, on behalf of licensed Delaware importers or manufacturers, from persons licensed by the Commissioner to sell alcoholic liquors.

(f) No person may import into this State any alcoholic liquor or infused beverage unless it is delivered directly to a licensed warehouse or warehouses in Delaware owned, leased or operated by a licensed Delaware importer and is unloaded and physically stored in said warehouse or warehouses.

Section 4. Amend § 516, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 516. Consumption off premises of a package store, ~~hotel,~~ restaurant, club, ~~store~~ or taproom.

(a) (1) a. Any person in charge of a ~~hotel, restaurant, club or store (other than a grocery, delicatessen or cigar store),~~ package store, whether owner, lessee or manager, and recognized as such by the Commissioner, may apply to the Commissioner for a license to purchase from an importer and to keep and sell and deliver on the premises only spirits, wine or beer by the bottle, half bottle, keg, half keg, quarter keg, or sixtel, but not for consumption on the premises where sold, or in any dependency thereof. All vessels so sold shall be delivered to the purchaser and shall be removed from the premises where sold with the seals of such vessels unbroken, with the exception of those licenses that are approved by the Commissioner for a growler filler permit which allows a licensee to purchase beer by the keg or partial keg and fill containers at time of purchase which will then be capped to leave the licensed premises for consumption off of the premises. For purposes of issuing a new license under this section, all establishments licensed for the sale of alcoholic liquors, but not for consumption on the premises where sold, shall be considered as being of the same type; provided, however, this shall not apply to the transfer of ownership or the renewal of an existing license.

b. Any infused beverages offered for sale must be in a designated section of the store that is separate and apart from alcoholic liquors and non-alcoholic mixers, with clear signage that states the products contain THC. All infused beverages must be delivered to the purchaser and removed from the premises where sold with the seals of such containers unbroken.

(2) Any person in charge of a store ~~(other than a grocery, delicatessen or cigar store),~~ package store, whether owner, lessee, or manager, and recognized as such by the Commissioner with a valid license for consumption off premises issued pursuant to this section may sell spirits, ~~wine or beer~~ wine, beer, or infused beverages pursuant to paragraph (a)(1) of this section for curbside service. Any entity with a valid off premise license pursuant to §§ 512A through 512E of this title may sell alcoholic liquor pursuant to its license for curbside service. All sales for curbside service must do all of the following:

(c) No person in charge of a taproom, club, or restaurant, whether as owner, lessee, manager or otherwise, may apply for a license to sell alcoholic liquors for consumption off the premises where sold, and the Commissioner shall not issue such a license for use in a ~~taproom.~~ Provided, however, that taproom, club, or restaurant, except as follows:

~~(1) Any~~ Any person issued a license which authorizes the person to sell alcoholic liquors in a taproom for consumption off the premises prior to July 6, 1983, shall be permitted to retain said license, unless revoked by the Commissioner pursuant to this ~~title;~~ title.

~~(2) Any~~ Any person issued a license that authorizes the person to sell alcoholic liquors in a club or restaurant for consumption off the premises prior to [the effective date of this Act] shall be permitted to retain said license, unless revoked by the Commissioner pursuant to this title.

~~(3) and provided further, that any~~ Any person issued a license which authorizes the person to sell alcoholic liquors in a taproom for consumption off the premises prior to July 6, 1983, ~~shall be and~~ any person issued a license which authorizes the person to sell alcoholic liquors in a club or restaurant for consumption off the premises prior to [the effective date of this Act] is permitted to transfer said license with the approval of the Commissioner as provided in § 571 of this title.

Section 5. Amend § 525, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 525. Spirits, wine and beer tasting.

A license to permit spirits, wine and beer tasting may be granted by the Commissioner to any person holding a license under this title as a ~~retailer,~~ package store licensed under § 516 of this title. Spirits, wine and beer tasting may take place only in a separate portion of a licensee's premises where alcoholic beverages and infused beverages are not sold. The separate portion of the premises shall be an area designated for spirits, wine and beer tasting by the Commissioner. No charge may be made for the spirits, wine and beer tasting.

Section 6. Amend § 546, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 546. Limit on number of ~~retail-package store~~ licenses.

(a) The General Assembly finds that, in order for the Delaware Alcoholic Beverage Control Commissioner to maintain effective control of the importation, distribution and sale of alcoholic liquor into and within this State, and in order to prevent geographical price fixing of alcoholic liquor at the retail level, there shall be a limitation placed on the number of ~~retail-package store~~ licenses issued, held, controlled or acquired directly or indirectly by 1 person. The General Assembly further finds that a limitation on the number of ~~retail-package store~~ licenses held by 1 person is necessary to ensure a stable system for the lawful distribution of alcoholic liquor, serve the public need and convenience and prevent the public harm associated with a monopoly of the ~~retail-package store~~ alcoholic liquor trade by any person or group of persons, whether such licenses are held by a corporation, partnership, association, proprietorship, individual or other entity. The General Assembly further finds that a reasonable restriction on the number of ~~retail-package store~~ licenses held by 1 person will further the State's interest in maintaining a 3-tier system for the importation, distribution and sale of alcoholic liquor by minimizing or limiting absentee ownership and the domination of ~~retail-package store~~ establishments by suppliers, manufacturers, importers or other economically powerful interests.

Therefore, it is declared to be the public policy of this State that limitations, as hereinafter specified, be placed on the number of ~~retail-package store~~ licenses that any person may at 1 time hold, directly or indirectly, and that the Commissioner shall actively supervise and enforce these limitations.

(b) The Commissioner shall refuse to grant a license for the sale of alcoholic liquor by any restaurant, taproom, hotel, store or other establishment for consumption off the premises where sold if the Commissioner has substantial evidence that would reasonably support a belief that the applicant, or any of the applicant's directors, officers or shareholders, or any of the applicant's partners, corporations, proprietorships or other legal entities engaged in any undertaking, industry or business is singularly, or in combination with the applicant, the holder of 2 or more ~~retail-package store~~ licenses, or has any financial, pecuniary, beneficial, management, supervisory or other interest whatsoever, direct or indirect, and however small, in 2 or more ~~retail-package store~~ licenses; provided, however, that nothing herein shall require any person who, prior to April 1, 1992, acquired an interest in more than 2 retail licenses to surrender, dispose of, or release their interest in any such ~~license; license for a package store~~, nor shall anything herein affect such person's right to continue to hold, use and renew any such ~~license; license or any such license renewed or reissued as a package store license~~.

(c) For the purposes of this section, a person shall be deemed to acquire a financial, pecuniary, beneficial, management, supervisory or other interest in a ~~retail-package store~~ license to purchase and re-sell or dispense alcoholic liquor if such person or person's spouse or child under 21 years of age has either (i) any interest whatsoever, direct or indirect, and however small, as a director, officer, shareholder, partner, associate, employee or member in any corporation,

partnership, association, proprietorship or other entity engaged in any undertaking, industry or business which holds a ~~retail~~
package license pursuant to this chapter, or (ii) any authority whatsoever to supervise, manage, control or direct the
operation of the licensee's business, or to hire, terminate or discipline its employees, or to issue any orders, policies or
directives concerning its business; provided, however, that any person whose relationship with the licensee is, as
determined by the Commissioner, merely that of a bona fide lender, lending institution, secured party or lienholder, or
merely that of a bona fide landlord or lessor of real or personal property, shall not, for the purposes of this section, be
deemed to acquire a financial, pecuniary, beneficial, management, supervisory or other interest in such license.

Section 7. Amend § 708, Title 4 of the Delaware Code by making deletions as shown by strike through and
insertions as shown by underline as follows:

§ 708. Prohibition of sales to certain persons.

(a) No person or licensee shall sell any alcoholic liquor or any infused beverage to any~~any of the following~~:

(1) ~~Individual~~ An individual who has not reached the age of 21 years, except that in any prosecution for an
offense under this paragraph it shall be an affirmative defense that the individual, who has not reached the age of 21
years, presented to the accused identification, with a photograph of such individual affixed thereon, which
identification sets forth information which would lead a reasonable person to believe such individual was 21 years of
age ~~or older~~; older.

(2) ~~Person~~ A person to whom such sale is ~~prohibited~~; prohibited.

(3) ~~Individual who habitually drinks alcoholic liquor to excess, or to whom the Commissioner and/or Division~~
~~has, after investigation, decided to prohibit the sale of such liquor because of an appeal to the Commissioner and/or~~
~~Division by the husband, wife, father, mother, brother, sister, employer or other person depending upon, employing or~~
~~in charge of such individual, or by the mayor or other competent representative of any city, town, or other incorporated~~
~~place; the interdiction in such case shall last until removed by the Commissioner and/or Division.~~

Section 8. Amend § 709, Title 4 of the Delaware Code by making deletions as shown by strike through and
insertions as shown by underline as follows:

§ 709. Prohibition of sales and delivery at certain times [Effective until meeting the contingency in 82 Del. Laws,
c. 193, § 5].

(a) No entity licensed pursuant to § 501 of this title or importer shall sell or deliver alcoholic liquor or infused
beverages on Sundays, Thanksgiving, Easter or Christmas or at hours other than those prescribed by the rules or regulations
of the Commissioner, except as subsection (f) of this section may apply. An importer may receive and process orders on
any day, including Sundays and holidays.

Section 9. Amend § 903, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 903. Offenses carrying penalty of fine of not more than \$100 or imprisonment for 1 month on failure to pay fine.

Whoever:

~~(6) Being the holder of a license, knowingly sells to any of the persons mentioned in § 708 of this title after notice sent to such person by the Commission in compliance with the provisions of said section, any alcoholic liquor, the sale of which is authorized by the license; or [Repealed.]~~

shall, in addition to the payment of costs, be fined not more than \$100, and, on failure to pay such fine and costs, shall be imprisoned for 30 days. Justices of the peace shall have original jurisdiction to hear, try, and finally determine alleged violations of this section.

Section 10. Amend § 1302, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows and by redesignating accordingly:

§ 1302. Definitions.

As used in this chapter:

(2) “Cannabinoids” means naturally occurring chemical compounds found in the marijuana plant, including, but not limited to, cannabidiol (CBD), cannabigerol (CBG), cannabitol (CBN), tetrahydrocannabinol (THC), and their respective acids.

(3) “CBD” means cannabidiol, a non-intoxicating cannabinoid abundant in hemp and marijuana.

~~(5)(7)~~ (7) “Consumer” means an individual 21 years of age or older who purchases marijuana, marijuana products, or marijuana accessories—accessories, or infused beverages for personal use by the individual or other individuals 21 years of age or older, but not for resale to others.

(8) “Container” means a single-serving beverage with no less than 12 ounces that contains, or is advertised, labeled, or offered for sale as containing, total THC that is not greater than 10 milligrams.

(9) “Consumable hemp product” means a commodity containing THC that is manufactured from hemp or marijuana, for commercial or research purposes, and is intended for human ingestion, inhalation, or other internal consumption, and is not an infused beverage. The term consumable hemp product includes, but is not limited to, food, gummies, lozenges, baked goods, mints, and hard candies.

(15) “Hemp oil” means a concentrated extract derived from hemp or marijuana that is intended for manufacturing, human ingestion, inhalation, or other internal consumption, and contains more than 1 percent of cannabinoids. Hemp oil may not contain any of the following:

- a. Any controlled substance listed in § 4714(g) of Title 16.
- b. Delta-7-tetrahydrocannabinol (D7-THC) and its derivatives.
- c. More than 0.1 percent of Delta-10-tetrahydrocannabinol (D10-THC) and its derivatives.
- d. Hexahydrocannabinol (HHC) and its derivatives.
- e. Tetrahydrocannabinol acetates (THC-O) and its derivatives.
- f. Tetrahydrocannabiphorol (THCP) and its derivatives.
- g. More than 0.1 percent of Tetrahydrocannabivarin (THCV) and its derivatives.
- h. More than 0.1 percent of delta-8-tetrahydrocannabinol (D8-THC) and its derivatives.

(17) “Infused beverage” means a beverage intended for human consumption that meets the following criteria:

- a. The beverage does not contain alcoholic liquor as defined in § 101 of this title,
- b. The beverage is not infused with THC derived from any hemp product other than hemp oil.
- c. The beverage contains, or is advertised, labeled, or offered for sale as containing, total THC that is not greater than 10 milligrams per container.

(18) “Infused beverage endorsement” means a special permit required to manufacture, prepare, package, and deliver infused beverages to a package store for off-premises consumption, but not to consumers.

(19) “Intoxicating cannabinoid” means a cannabinoid, including an artificially derived cannabinoid, that when introduced into the human body impairs the central nervous system or impairs the human audio, visual, or mental processes. Intoxicating cannabinoid includes any tetrahydrocannabinol.

~~(19)~~(27) “Marijuana products” means products that are comprised of marijuana, including concentrated marijuana, and other ingredients and are intended for use or consumption, such as edible products, ointments, and tinctures, tinctures, transdermal patches, and consumable hemp products, but does not include infused beverages.

(39) “THC” means the schedule I controlled substance tetrahydrocannabinol, and includes delta-7-tetrahydrocannabinol, delta-8-tetrahydrocannabinol, delta-9-tetrahydrocannabinol, delta-10-tetrahydrocannabinol, an intoxicating cannabinoid, or any material, compound, mixture, or preparation that contains their salts, isomers, and salts of isomers, whenever the existence of such salts, isomers, and salts of isomers is possible within the specific chemical designation, regardless of the source, except the following:

- a. Dronabinol substituted in sesame oil and encapsulated in a soft gelatin capsule in a product approved by the federal Food and Drug Administration or successor agency.

b. Any tetrahydrocannabinol product that has been approved by the federal Food and Drug Administration or successor agency to have a medical use and reclassified in any schedule of controlled substances or unscheduled by the federal Drug Enforcement Administration or successor agency.

(40) "Total THC" means the sum of the percentage by weight of tetrahydrocannabinolic acid, multiplied by 0.877, plus the percentage of weight of THC.

Section 11. Amend § 1305, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1305. Driving under the influence prohibited.

Nothing in this chapter is intended to allow driving under the influence of ~~marijuana~~ marijuana, marijuana products, or infused beverages, or driving while impaired by ~~marijuana~~ marijuana, marijuana products, or infused beverages or to supersede laws related to driving under the influence of ~~marijuana~~ marijuana products, or infused beverages or driving while impaired by ~~marijuana~~ marijuana products, or infused beverages. This chapter is not intended to prevent the State from enacting and imposing penalties for driving under the influence of or while impaired by ~~marijuana~~ marijuana, marijuana products, or infused beverages.

Section 12. Amend § 1306, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1306. Individuals under age 21; prohibitions.

(a) Nothing in this chapter is intended to permit the transfer of marijuana, marijuana products, or infused beverages, with or without remuneration, to an individual under the age of 21 or to allow an individual under the age of 21 to purchase, possess, use, transport, or consume ~~marijuana~~ marijuana, marijuana products, or infused beverages. Nothing in this paragraph prohibits a package store from employing a person who has reached the age of 18 years under such conditions as the Alcoholic Beverage Control Commissioner prescribes by rule or regulation.

Section 13. Amend § 1309, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1309. Lawful operation of ~~marijuana-related~~ marijuana establishments.

Section 14. Amend Subchapter I, Chapter 13, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1309A. Lawful sale of infused beverages.

(a) No infused beverage may be sold or offered for sale in this state unless all of the following apply:

(1) The infused beverage is sold or offered for sale to consumers for off-premises consumption by a licensed package store.

(2) The infused beverage contains, or is advertised, labeled, or offered for sale as containing total THC that is not greater than 10 milligrams of total THC per container, with no more than 60 milligrams of total THC in a multi-container package.

(3) The infused beverage does not contain alcoholic liquors.

(4) The infused beverage does not contain THC derived from any hemp product other than hemp oil.

(5) The infused beverage meets all packaging, labeling, advertising, product testing, sampling, and safety standards for infused beverages established in the regulations adopted under this chapter and in the State of Delaware Food Code, Regulation 4458 of Title 16 of the Delaware Administrative Code, or any successor regulation, and provided that:

a. No infused beverage may be sold or offered for sale to any consumer in this state by way of any indirect means, including by way of mail, telephonic, or other electronic means, or third-party delivery.

b. No infused beverage sold or offered for sale in this state may be packaged, labeled, or advertised in any manner designed to make the product appealing to children.

c. Every infused beverage container sold or offered for sale in this state must prominently display a symbol in a size and format approved by the Commissioner by regulation, that indicates that the infused beverage contains THC and is not legal or safe for individuals younger than 21 years of age.

(6) The infused beverage is sold in containers that are securely sealed by the manufacturer, which means a container that is designed to prevent consumption without removal of the seal.

(7) The infused beverage is stored separately from any alcoholic liquors, and is offered for sale in a designated section of the store, separate and apart from alcoholic liquors and non-alcoholic mixers, with clear signage that states the products contain THC.

(b) No supplier, importer, manufacturer, marijuana establishment, package store, or agent or employee of a supplier, importer, manufacturer, marijuana establishment, or package store may gift or transfer any infused beverage to a consumer, at no cost to the consumer, as part of a commercial transaction.

(c) The Alcoholic Beverage Control Commissioner and the Marijuana Commissioner may each summarily suspend or fine any license or endorsement the Office of Alcoholic Beverage Control Commissioner or the Office of the Marijuana Commissioner has issued to any person who violates any provision of this section.

(d) A violation of this section shall be deemed an unlawful practice under § 2513 of Title 6 and a violation of Subchapter II of Chapter 25 of Title 6.

§ 1309B. Lawful sales of consumable hemp products.

(a) A consumable hemp product may not be sold or offered for sale to a consumer in this state unless it is sold or offered for sale by a licensed retail marijuana store.

(b) A consumable hemp product must meet all packaging, labeling, advertising, product testing, sampling, and safety standards for consumable hemp products established in the regulations adopted under this chapter and the State of Delaware Food Code, Regulation 4458 of Title 16 of the Delaware Administrative Code, or any successor regulation.

(c) A violation of this section shall be deemed an unlawful practice under § 2513 of Title 6 and a violation of Subchapter II of Chapter 25 of Title 6.

Section 15. Amend § 1310, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1310. Enforcement.

(c) The Division of Public Health may conduct administrative inspections related to the production, storage, processing, handling, preparation, sanitation, safety standards, and labeling of marijuana products, including consumable hemp products, and infused beverages to determine compliance with Title 16 and the State of Delaware Food Code, 16 DE Admin. Code 4458, or any successor regulation. Such administrative inspections may take place at any time the licensee, employee of the licensee, or customer is upon the licensed premise. A violation of Title 16 or the State of Delaware Food Code found under this section is deemed a violation of this title.

Section 16. Amend § 1312, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1312. Verifying the age of marijuana consumers.

(a) Whoever sells any ~~marijuana~~-marijuana, marijuana product, or infused beverage to a person who has not reached the age of 21 years, or sells to any person of more than such age any ~~marijuana~~-marijuana, marijuana product, or infused beverage knowing that such ~~marijuana~~-marijuana, marijuana product, or infused beverage is bought for a person who is less than 21 years of age shall be subject to a civil penalty not less than \$250 nor more than \$500; \$500 for a first violation. For subsequent violations within a 5-year period, a civil penalty of up to \$10,000 may be imposed at the discretion of the Commissioner.

(c) Nothing in this chapter limits the sale of marijuana or marijuana products to an individual under 21 years of age who is a registered qualifying patient or a registered designated caregiver under Chapter 49A of Title 16.

Section 17. Amend § 1322, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1322. Duties and powers of the Commissioner.

(a) The Commissioner, in accordance with the Administrative Procedures Act, Chapter 101 of Title 29, shall do all of the following:

(15) Establish rules and regulations for the effective control of the business of manufacture, and the sale of, infused beverages within the State, including the time, place, and manner in which infused beverages may be sold, dispensed, and disposed.

Section 18. Amend § 1331, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1331. Regulations.

The Commissioner shall adopt regulations necessary for implementation of this chapter. The regulations may not prohibit the operation of marijuana establishments, either expressly or through regulations that make their operation unreasonably impracticable. Regulations and fees for marijuana cultivation facilities may be varied based on the size of the facility to ensure that the operation of smaller facilities is not made unreasonably impracticable. The Commissioner shall include all of the following in the regulations:

(9) Requirements for the transportation and storage of ~~marijuana and marijuana products~~ marijuana, marijuana products, and infused beverages by marijuana establishments.

(11) Requirements to prevent the sale or diversion of ~~marijuana and marijuana products~~ marijuana, marijuana products, and infused beverages to individuals under the age of 21. To protect individual privacy, the Commissioner may not require a consumer to provide a retail marijuana store with personal information other than government-issued identification to determine the consumer's age and a retail marijuana store may not be required to acquire and record personal information about consumers.

(13) Requirements for ~~marijuana and marijuana products~~ marijuana, marijuana products, and infused beverages sold or distributed by marijuana establishments, including information for consumers and labeling requirements ~~for marijuana products~~ that include all of the following:

c. The serving size and the number of servings in each package, not to exceed 10 servings, milligrams of total THC per serving and 50 milligrams of total THC in a multi-serving package.

n. The serving size of an infused beverage, not to exceed 10 milligrams of total THC per container, with no more than 60 milligrams of total THC in a multi-container package.

(14) Health and safety regulations and standards for the manufacture of marijuana products and infused beverages by marijuana establishments consistent with other Delaware requirements for food, including all of the following:

b. Restrictions or prohibitions on additives to ~~marijuana and marijuana-infused products~~, marijuana, marijuana products, and infused beverages, including additives that are toxic, designed to make the product more addictive, or designed to make the product more appealing to children, but not including common baking and cooking items.

d. Requirements for random sample testing, including the manner and frequency of testing, to ensure quality control, including by ensuring that ~~marijuana and marijuana-infused products~~ marijuana, marijuana products, and infused beverages are accurately labeled for potency. The testing analysis must include testing for: residual solvents, poisons, or toxins; harmful chemicals; dangerous molds or mildew; filth; harmful microbials such as E. coli or salmonella; and pesticides.

(15) Restrictions on the advertising, marketing, and signage of ~~marijuana and marijuana products~~, marijuana, marijuana products, and infused beverages, including a prohibition on mass-market campaigns that have a high likelihood of reaching minors.

(16) Restrictions on the display of ~~marijuana and marijuana products~~, marijuana, marijuana products, and infused beverages, including requirements that ~~marijuana and marijuana products~~ marijuana, marijuana products, and infused beverages may not be displayed in a manner that is visible to the general public from a public right-of-way.

(18) Requirements that educational materials be disseminated to consumers who purchase ~~marijuana-infused products~~, marijuana, marijuana products, and infused beverages.

(22) Procedures for the issuance, renewal, suspension, transfer, and revocation of an infused beverage endorsement.

Section 19. Amend § 1335, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1335. Marijuana product manufacturing facility license.

(f) All licensed premises on which retail marijuana products or infused beverages are manufactured must meet the sanitary standards for retail marijuana product and infused beverages preparation promulgated under this chapter and as applicable under all of the following:

(h) A retail marijuana product must be sealed and conspicuously labeled in compliance with this chapter and any rules promulgated under this chapter.

(3) The standard symbol requirements as established by the Commissioner do not apply to a multi-serving liquid retail marijuana product that is impracticable to mark if the product complies with all statutory and rule packaging requirements for multi-serving edibles and with all of the following enhanced requirements to reduce the risk of accidental ingestion:

a. A multi-serving liquid is packaged in a structure that uses a single mechanism to achieve both child-resistance and accurate pouring measurement of each liquid serving in increments equal to or less than 10 milligrams of ~~active-total~~ THC per serving, with no more than ~~500-60~~ milligrams of ~~active-total~~ THC total per package.

(i) ~~Retail marijuana or retail marijuana products~~ Marijuana, marijuana products, and infused beverages may not be consumed on the premises of a marijuana product manufacturing facility.

(k) A licensed marijuana product manufacturing facility may apply for an infused beverage endorsement to sell its own infused beverages to a licensed Delaware importer.

Section 20. Amend Subchapter III, Chapter 13, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1335E. Infused beverage endorsement.

(a) The following persons or entities may apply to the Commissioner for an infused beverage endorsement:

(1) A supplier or importer licensed by the Alcohol Control Beverage Commissioner under this title.

(2) A manufacturer licensed by the Alcohol Control Beverage Commissioner under §§ 512A, 512B, 512C, or 512E of this title.

(3) A marijuana product manufacturing facility licensed under § 1335 of this title.

(4) A marijuana product manufacturing microbusiness licensed under § 1340 of this title.

(5) A marijuana product manufacturing facility holding a conversion license under § 1335D of this title.

(b) An infused beverage endorsement issued under this section is valid for 2 years, unless the endorsement is canceled, revoked, or suspended by the Commissioner. An infused beverage endorsement may be renewed every 2 years by paying the fee under subsection (d) of this section and providing confirmation that the holder of the endorsement continues to meet all requirements for continued endorsement. An infused beverage endorsement is automatically canceled, revoked, or suspended if the holder's license to sell alcoholic liquors or marijuana products under this title is canceled, revoked, or suspended.

(c) An application for an infused beverage endorsement must contain all of the following:

(1) All application materials required by the Commissioner.

(2) Proof of an active license to sell alcoholic liquors or marijuana products under this title.

(3) An application fee.

a. Except as specified in paragraph (c)(3)b. of this section, the application fee is \$1,500.

b. For any marijuana product manufacturing facility owned by a social equity licensee or licensed as a microbusiness, the application fee is \$600.

(d) Infused beverage endorsement renewal fees.

(1) For manufacturers of infused beverages:

a. Except as specified in paragraph (d)(1)b. of this section, the infused beverage endorsement renewal fee is \$1,000.

b. For any marijuana product manufacturing facility owned by a social equity licensee or licensed as a microbusiness, the infused beverage endorsement renewal fee is \$400.

(2) For suppliers of infused beverages, the infused beverage endorsement renewal fee is \$1,000, of which the Commissioner must remit \$400 to the Office of the Alcohol Control Beverage Commissioner.

(3) For importers of infused beverages, the infused beverage endorsement renewal fee is \$1,000.

§ 1335F. Infused beverage manufacturing requirements.

(a) Upon proper application and subject to the applicable provisions, restrictions, and prohibitions under this title and regulations promulgated under this title, the Commissioner may grant an infused beverage manufacturing endorsement to any of the following:

(1) A manufacturer licensed by the Alcohol Control Beverage Commissioner under §§ 512A, 512B, 512C, or 512E of this title.

(2) A marijuana product manufacturing facility licensed under § 1335 of this title.

(3) A marijuana product manufacturing microbusiness licensed under § 1340 of this title.

(4) A marijuana product manufacturing facility holding a conversion license under § 1335D of this title.

(b) A manufacturer that manufactures infused beverages intended to be sold or offered for sale in this State must comply with the following:

(1) The manufacture may not manufacture any infused beverage containing alcoholic liquor.

(2) The manufacturer may not manufacture an infused beverage with total THC that exceeds 10 milligrams per container.

(3) The manufacturer may not obtain any hemp product for the purpose of manufacturing an infused beverage unless such hemp product is in the form of hemp oil, and no manufacturer may use any hemp product other than hemp

oil to manufacture an infused beverage. The hemp oil used to manufacture an infused beverage must meet the following requirements:

a. The hemp oil was extracted from hemp grown by one of the following:

1. A hemp producer, as evidenced by a certificate of authenticity issued by the hemp producer.

2. A licensed hemp grower regulated by a state, territory, or federally recognized Indian tribe, and in accordance with a state or tribal plan approved by the United States Department of Agriculture, as evidenced by a certificate of authenticity issued by the licensed hemp grower.

b. The hemp oil extraction meets the following criteria:

1. The hemp oil was extracted by a person who is actively credentialed by a state or federally recognized Indian tribe to extract hemp, as evidenced by a certificate of authenticity issued by the person who is actively credentialed to extract hemp.

2. The hemp oil was extracted in a facility that is credentialed by a state or federally recognized Indian tribe, as evidenced by a certificate of authenticity issued by the facility that is credentialed to extract hemp.

3. The hemp oil was extracted from hemp by using one of the following processes:

A. Mechanical extraction, such as dry screens, sieves, presses, potable water and ice made from potable water, cryogenic or subzero manufacturing not involving a solvent, or pressure and temperature.

B. Chemical extraction using a nonvolatile solvent such as a non-hydrocarbon-based or other solvent such as water, vegetable glycerin, vegetable oils, animal fats, or food-grade glycerin (non-hydrocarbon-based solvents shall be food grade).

C. Chemical extraction using a closed loop extraction system approved by the Commissioner.

D. Alcohol (ethanol) extraction.

(4) The manufacturer may not manufacture any infused beverage using the hydrocarbon extraction method for extraction, which is not authorized for human consumption.

(5) The manufacturer must comply with all standards and requirements of this title and regulations promulgated by the Commissioner.

(6) The manufacturer is subject to the testing provisions set forth in § 1335G of this title.

(7) The manufacturer is subject to the investigation and enforcement provisions set forth in § 1310 of this title.

§ 1335G. Delivery, storage, and testing of infused beverages at in-state warehouse.

(a) No shipment of infused beverages may be made into this state unless:

(1) The infused beverages are delivered directly by a Delaware licensed supplier or importer, and the licensed supplier or importer holds an infused beverage endorsement.

(2) The infused beverages are delivered directly to a licensed warehouse in Delaware that is owned, leased, or operated by a Delaware licensed importer who holds an infused beverage endorsement.

(3) The infused beverages are unloaded and physically stored in the licensed warehouse.

(b) The importer may not sell or distribute any infused beverage within this state that contains any of the following:

(1) Alcoholic liquor.

(2) THC derived from any hemp product other than hemp oil.

(3) Total THC that is greater than 10 milligrams per container. For purposes of this paragraph, advertising, labeling, or offering a container for sale as containing total THC that is greater than 10 milligrams per container is a violation, regardless of the actual content of the container.

(c) When a licensed Delaware importer receives a shipment of infused beverages, the importer must do the following, unless granted a waiver of the requirements under this section by the Commissioner for products previously approved by the Commissioner:

(1) The importer must notify the Commissioner of the delivery.

(2) The importer must ensure the infused beverages remain physically stored in an authorized warehouse and at-rest until inspected, sampled, and tested by Commissioner, Division, or the Division of Public Health.

(3) The importer may not sell or distribute any infused beverage contained in the shipment within this state until approved by the Commissioner.

(d) The Commissioner must collect a statistically significant number of samples from each lot of infused beverages delivered into this state and submit such samples to a licensed marijuana testing facility or State of Delaware laboratory for final product testing in a manner approved by the Commissioner. The importer must pay the cost of random sampling testing under this subsection.

(e) Each licensed supplier or importer is responsible for ensuring compliance with the relevant provisions of this title, as well as regulations promulgated under this title at all of the licensed supplier or importer's premises.

(f) Each licensed importer or supplier is subject to inspection by the Division of Revenue, which may inventory any infused beverages in the possession or control of the importer or supplier and inventory sale invoices or bills of sale for infused beverage deliveries, at any time the Division of Revenue deems reasonable and necessary to carry out its statutory duties to verify the reporting and collection of taxes payable to the State of Delaware.

(g) The transportation and delivery of infused beverages must comply with the following:

(1) Vehicles owned by suppliers may not be used for delivery of infused beverages to retailers in the State of Delaware.

(2) No peddling is allowed. Definite orders for all infused beverages shipped from an importer's warehouse must have been received from customers before a loaded vehicle leaves the warehouse.

(3) No infused beverages other than those contained in a definite order may be carried on the vehicles.

(4) A statement showing the destination of each package of infused beverages must be furnished to the driver and carried by the driver over the route.

(5) Upon the driver's return to the warehouse, the driver must sign a statement confirming the infused beverages were delivered to the destination listed. This statement must be available for inspection by the Commissioner at all times.

(6) Every person in charge of transportation by motor vehicle, by railroad, by water vessel, by common carrier, or by any other vehicle that transports infused beverages in or through the State of Delaware in an interstate shipment must have a way bill. The carrier must have in its possession the way bill and be prepared to present it when asked.

a. The way bill must include these written or printed terms:

1. The date of its issue.

2. The name and address of the consignor.

3. The name and address of the consignee.

4. A statement as to whether the goods will be delivered to a specified person or to the order of a specified person.

5. A description of the package, stating the number and contents.

6. The signature of the carrier or its duly authorized agent.

Section 21. Amend § 1355, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1355. ~~Finality of Commissioner's decision refusing license.~~ [Repealed.]

~~If an application is not timely protested, but the Commissioner determines that the application should nevertheless be denied, the Commissioner shall render the decision promptly in writing. The Commissioner's decision shall be final and conclusive unless, within 30 days after notice thereof has been mailed by the Commissioner's office, the applicant files an appeal in the office of the Commissioner. The appeal shall follow the procedure outlined in § 1362 of this title.~~

Section 22. Amend § 1361, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1361. Grounds for cancellation, suspension, or fines.

(g) The Commissioner may cancel any retail license if it has reasonable grounds to believe that the license was granted in violation of this chapter, or any regulation enacted pursuant to § 1331 of this title.

(h) For any violation of this title or a regulation promulgated under this title pertaining to infused beverages, the Commissioner may impose an administrative civil penalty of \$250 or up to 10 percent of the estimated average gross monthly sales of infused beverages for the operations of any licensee within the 12 months immediately preceding the date the penalty is imposed, whichever is greater. The Commissioner may also suspend, revoke, or place conditions upon the license or authorization of any person or entity that violates any provision of this title or regulation promulgated under this title pertaining to infused beverages.

Section 23. Amend § 1382, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1382. Levy and rate of marijuana tax; collection.

(f) A marijuana retailer may not discount a marijuana ~~item-product~~ or offer a marijuana ~~item-product~~ for free if the retail sale of the marijuana ~~item-product~~ is made in conjunction with the retail sale of any other item.

Section 24. Amend Subchapter VIII, Chapter 13, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1382A. Rate of tax for infused beverages; administration and reporting.

(a) A person holding an endorsement under this title as an importer of infused beverages must pay a tax upon the sale of infused beverages to any person in this State at the rate set forth in subsection (c) of this section.

(b) A person holding an endorsement under this title to manufacture infused beverages shall pay a tax upon the sale of infused beverages to any package store at the rate set forth in subsection (c) of this section. This subsection shall not apply to sales of infused beverage by manufactures to importers.

(c) The tax payable for infused beverages is \$1 per container.

(d) A licensed importer or manufacturer required to pay the tax under this section must file a monthly report with the Division of Revenue in the form required by the Director of the Division of Revenue and must provide such additional information as the Director of the Division of Revenue may require.

(e) A licensed importer or manufacturer required to pay the tax under this section must pay the tax in the form and manner prescribed by the Director of Revenue, but no later than at the time the importer or manufacturer is required to file the monthly report.

(f) Except to the extent inconsistent with specific provisions of this title, the provisions of Chapter 5 of Title 30 shall govern the assessment, collection, review and appeal of deficiencies of tax imposed by this title, and any interest and penalties thereon, and claims for refund of overpayment of taxes imposed by this title.

(g) All infused beverage tax money received by the Division of Revenue under this section must be deposited in accordance with § 6103(a) of Title 29 and credited to the Marijuana Regulation Fund.

(f) Any information set forth or disclosed in any report or return required under or as a result of this section, including any information that is required to be attached or included on any report or return required under or as a result of this section, is subject to the provisions of § 368 of Title 30. Notwithstanding the foregoing or any other law of this State to the contrary, any information set forth or disclosed in any report or return required under or as a result of this section may be shared by the Division of Revenue with the Office of the Alcoholic Beverage Control Commissioner and the Office of the Marijuana Commissioner for the purpose of enforcement under this title, and the licensee is deemed to consent to such disclosure at the time the licensee submits the report or return.

Section 25. Amend § 1387, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1387. Appropriation of revenue.

(a) The funds in the Marijuana Regulation Fund in each fiscal year must be appropriated by the General Assembly as follows:

(2) To the administrative costs and expenses of the Department of Finance, Department of Health and Social Services, Department of Agriculture, the Department of Justice, and other agencies responsible for taxing and regulating personal use marijuana in Delaware. These departments shall submit a proposed expenditure plan for approval by the Commissioner, Controller General, and Director of the Office of Management and Budget prior to the expenditure of these funds.

Section 26. Amend Chapter 13, Title 4 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

Subchapter IX. Consumer Protection

§ 1390. Unlawful practices.

Any violation of the provisions of this chapter shall be deemed an unlawful practice under § 2513 of Title 6 and a violation of Subchapter II of Chapter II of Title 6.

Section 27. Amend § 3310, Title 16 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 3310. Exceptions to adulteration or misbranding of food.

An article of food which does not contain any added poisonous or deleterious ingredients is not deemed to be adulterated or misbranded in the following cases:

(1) In the case of mixtures or compounds known as articles of food under their own distinctive names and not an imitation of or offered for sale under the distinctive name of another article, if the name is accompanied on the same label or brand with a statement of the place where the article was manufactured or ~~produced~~; produced.

(3) In the case of marijuana products, including consumable hemp products and infused beverages as defined under § 1302 of Title 4.

Section 28. Amend § 4764A, Title 16 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 4764A. Legal marijuana-related activity.

(a) For purposes of this section, “adult sharing” means transferring marijuana, marijuana products, or infused beverages between persons who are 21 years of age or older without remuneration. “Adult sharing” does not include instances in which:

(b) Notwithstanding any other provision of this chapter, no civil or criminal penalty may be imposed, nor may criminal or civil asset forfeiture be pursued, for any of the following activities by an individual 21 years of age or older:

(1) Adult sharing of a personal use quantity or less of ~~marijuana, marijuana, marijuana products, or infused beverages~~.

(2) Possessing, using, displaying, purchasing, or transporting marijuana ~~accessories or accessories~~, a personal use quantity or less of ~~marijuana~~ marijuana, or infused beverages outside of a motor vehicle.

(3) Possessing and transporting marijuana ~~accessories accessories, marijuana products, or~~ a personal use quantity or less of marijuana, or infused beverages inside of a motor vehicle as long as the marijuana ~~accessories or marijuana accessories, marijuana products, marijuana, or infused beverages are~~ is in a closed container or is are not readily accessible to anyone inside the motor vehicle.

(c) The following acts remain unlawful and an offense under the law of this State:

613 (1) Consuming ~~marijuana~~ marijuana, marijuana products, or infused beverages in an area accessible to the
614 public or in a moving vehicle, as defined and punished under § 4764(d) of this title.
615 (4) Selling marijuana products or infused beverages without an active license or endorsement under Title 4, as
616 defined and punished under Delaware law, including under the provisions of this chapter.

SYNOPSIS

This Act sets forth requirements and restrictions for the manufacture, distribution, and sale of THC-infused beverages in this State. This Act allows manufacturers to operate in Delaware with authorization, and sets forth manufacturing and product requirements. Out-of-state and in-state manufacturers must deliver their infused beverages to licensed importers, who must comply with notice and testing requirements before the infused beverages can be transported from an importer's warehouse to package stores for sale, and must keep detailed records of their shipments. Package stores may obtain authorization to sell infused beverages for off-premises consumption, and must comply with requirements concerning the placement of infused beverages in the store, signage, and packaging criteria.

This Act also increases the potential civil penalties for selling marijuana, marijuana products, and infused beverages to individuals under 21, allowing a fine of up to \$10,000 for subsequent offenses within 5 years. Additionally, for violations of provisions of Title 4 pertaining to infused beverages, an administrative civil penalty may be imposed of the greater \$250 or up to 10 percent of the estimated average gross monthly sales of infused beverages for the operations of a licensee within 12 months preceding the date the penalty is imposed.

This Act also updates outdated provisions of code and makes technical corrections to conform existing law to the standards of the Delaware Legislative Drafting Manual.

This Act requires a greater than majority vote for passage because § 11 of Article VIII of the Delaware Constitution requires the affirmative vote of three-fifths of the members elected to each house of the General Assembly to impose or levy a tax or license fee.